Data center buildout will weather midterm backlash

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States will condition, not ban, data centers after midterm backlash

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Markets are overreading Democrats’ opposition to data centers following the midterms; most state-level elected officials are focused on conditioning the development rather than halting it, leading us to raise the odds that states will impose conditions in 2027 (85% odds, up from 55%) without fundamentally changing the buildout’s trajectory.
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Texas is the key state to watch in early 2027, with Governor-elect Gina Hinojosa likely seeking to extend the current interconnection pause while working with lawmakers during the 2027 legislative session to enact new conditions, which could provide the basis of a nationwide model.
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Conditions and restrictions will occur across five key policy areas: environmental, ratepayer protection, tax incentives, labor and wage standards, and local vetoes, with environmental standards and local vetoes likely to have the biggest impact on the buildout’s progress.

Democrats’ midterm victories will not fundamentally change the buildout’s trajectory. As we have argued (see: "State data center restrictions won't slow US buildout ," 30 September 2026), states will continue to move toward relatively consistent conditions on the data center buildout, not bans or long-term moratoriums. We maintain that position even as data centers clearly fared poorly in the midterms. Voters elected governors in key states—Texas, Ohio, Georgia—who campaigned on restricting buildouts. Local voters opposed data centers nearly everywhere the question appeared on the ballot; in 41 measures across ten states, all but one went against data centers. Ohio alone had 21 questions on the ballot across 18 municipalities.

More broadly, data center opposition has been a central campaign story in the midterms, with little support coming from either side. Markets have been quick to take notice, driving a tech sell-off. However, the market’s overreaction misses important nuances in how governors-elect are promising to address the new data center landscape.

Democrats have more nuanced views on data centers than headlines suggest. While some progressives did indeed run and win on anti-data center platforms, candidates for the most part had more moderate positions. Governors-elect favoring moratoriums called for temporary ones, not permanent ones; temporary pauses create space for regulations to catch up. Almost all of the incoming Democratic governors are more focused on placing conditions on the data-center buildout than on stopping it entirely.

This is a product of political incentives: Reasons not to torpedo the data center buildout are strong, and many concerns driving data center sentiment can be constructively addressed. Broadly, state and local incumbents are aware that economic growth depends in part on the data center buildout continuing, and local proponents of the buildout—such as unions representing construction and electrical workers—are gradually gaining political momentum after being blindsided by the rapid shift in public opinion over the summer.

Texas is likely to model the near-term path of conditional approvals. Hinojosa's campaign position was to temporarily pause new data center approvals until the legislature passes new restrictions; she cited water safeguards, an end to nondisclosure agreements, union labor standards, and repeal of the sales tax exemption as key objectives. We expect she will seek to do exactly this while in power. She will likely attempt to continue outgoing Governor Greg Abbott's pause on grid interconnection while the legislature is in session in spring 2027, though ERCOT (Texas's independent grid operator) and the Public Utility Commission of Texas have ultimate authority over whether to implement this directive.

If Hinojosa is able to work with the split legislature to develop regulations when lawmakers convene in January, a bill that trades conditions for restored approvals would become the standard for most states in 2027. If the legislature fails to regulate data centers in the session, Hinojosa could elect to extend the interconnection halt. Even if Texas fails to impose conditional restrictions, we still expect most state governments to condition the buildout moving forward—even in states where governors have not pledged to impose moratoria.

In any case, the buildout will face new conditions and restrictions. Of the five major areas of regulation (see chart below), environmental standards and local vetoes are likely to have the most impact. Siting continues to be driven by permitting and power. As the costs rise to meet regulatory requirements, endure delays, and obtain power, the buildout will concentrate among hyperscalers, the players most able to afford these growing costs.

Where data center development requires local zoning changes, and especially where those changes must be decided by voters at the ballot box, developers will be fighting an uphill battle. The Ohio local results were instructive: At the county and municipal level, voters themselves are deeply inclined against data centers. Winning enough battles to keep development apace will lead to increased costs—through community benefit agreements (CBAs), union labor, etc.—and longer timelines. This will probably result in more jurisdiction-shopping, with developers looking toward more favorable locations, such as Indiana and Idaho.

We also expect states to roll back tax incentives. Currently, over half of US states are incentivizing the data center buildout through tax policy, including exemptions on equipment, tax credits, sales tax abatements, and property tax reductions. Several states have already rolled back these incentives, and

we expect more states to do so moving forward. This trend will prompt hyperscalers and investors to seek friendlier jurisdictions for data center projects.

Since servers and chips running in a data center represent the majority of the capital expenditure and are subject to sales tax, tax incentives are significant in determining buildout locations, particularly for large, frontier facilities. Cost savings through tax breaks also recur throughout a data center's lifetime, as cutting-edge chips are replaced approximately every three years, incurring another tax event each time.

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